



Export Guarantees Amendment Act 1975

1975 CHAPTER 19

An Act to make further provision in connection with the powers and duties of the Secretary of State under the Export Guarantees Acts 1968 and 1970.

[27th March 1975]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Loans and interest grants in connection with export contracts.

1.—(1) The Secretary of State may, with the consent of the Treasury, make—

- (a) loans to any persons in connection with their provision of financial facilities in respect of export contracts ;
- (b) grants to any persons for the purpose of supplementing any interest receivable or received by them as consideration for their provision of such facilities as aforesaid ;

but no loans shall be made under this subsection to persons who are neither resident nor carrying on business in the United Kingdom.

(2) The Secretary of State may, with the consent of the Treasury, make grants to any persons carrying on business or other activities outside the United Kingdom, the Isle of Man and the Channel Islands in respect of interest paid or payable by them under export contracts.

(3) Any loan or grant under this section shall be made on such terms and conditions as the Secretary of State may determine.

(4) Any sums required by the Secretary of State for making loans or grants under this section shall be paid out of moneys provided by Parliament; and any sums received by him in connection with any loan made under this section shall be paid into the Consolidated Fund.

(5) This section is without prejudice to the power of the Secretary of State under section 2 of the Export Guarantees Act 1968 to make arrangements for facilitating the payment of sums payable under contracts with persons carrying on business in the United Kingdom, the Isle of Man or the Channel Islands. 1968 c. 26.

2.—(1) The power conferred by subsection (1) of section 3 of the Export Guarantees Act 1968 to acquire securities shall apply only to securities which have been guaranteed as mentioned in that subsection, but without prejudice to the acquisition of any security by the Secretary of State in pursuance of the terms and conditions of any loan made under subsection (1) of section 1 above or as part of any such arrangements as are mentioned in subsection (5) of that section. Acquisition of securities.

(2) Paragraphs (a) and (b) of subsection (1) of the said section 3 and section 4(2) of the Export Guarantees and Payments Act 1970 (provisions as to securities acquired under the said section 3) shall apply also to any security acquired by the Secretary of State in pursuance of the terms and conditions of any such loan or as part of any such arrangements as aforesaid. 1970 c. 15.

3.—(1) For the purpose of encouraging trade with other countries, the Secretary of State may with the consent of the Treasury make arrangements for making payments to persons carrying on business in the United Kingdom, the Isle of Man or the Channel Islands who have entered into export contracts, being payments related to such increases in the cost of labour, materials or other matters as may be specified by or under the arrangements. Payments to exporters in respect of cost increases.

(2) Arrangements under this section may contain such terms and conditions as the Secretary of State thinks fit, including provisions requiring payments to be made to the Secretary of State as consideration for his entering into the arrangements.

(3) Any expenses incurred by the Secretary of State under this section shall be paid out of moneys provided by Parliament, and any sums received by him by virtue of this section shall be paid into the Consolidated Fund.

(4) Subject to subsection (5) below, no arrangements shall be made under this section after the expiration of the period of two years beginning with the date of the passing of this Act.

(5) The Secretary of State may by order extend the period during which arrangements may be made under this section by not more than one year at a time ; and any order under this subsection shall be contained in a statutory instrument, and no such order shall be made unless a draft of it has been laid before and approved by resolution of the House of Commons.

Limit on
commitments.

1968 c. 26.

4.—(1) Subject to subsection (2) below, the aggregate of—

- (a) the liabilities at any time of the Secretary of State in respect of guarantees given under the Export Guarantees Act 1968 ;
- (b) the sums paid for securities acquired under section 3 of that Act and for the time being held by the Secretary of State ;
- (c) the amount of the principal moneys for the time being outstanding in respect of loans made under subsection (1) of section 1 above or due to the Secretary of State under any such arrangements as are mentioned in subsection (5) of that section ; and
- (d) the liabilities at any time of the Secretary of State in respect of arrangements made under section 3 above,

shall not exceed £12,200 million.

(2) The Secretary of State may, on not more than three occasions, by order made with the consent of the Treasury increase or further increase the limit applicable under subsection (1) above by a sum specified in the order, being a sum not exceeding £3,000 million.

(3) Any order under subsection (2) above shall be contained in a statutory instrument, and no such order shall be made unless a draft of it has been laid before and approved by resolution of the House of Commons.

Returns.

5. In addition to the returns which the Secretary of State is required to publish under section 8 of the Export Guarantees Act 1968, he shall publish quarterly—

- (a) a return showing the aggregate amount of the principal moneys for the time being outstanding in respect of loans made under subsection (1) of section 1 above ;
- (b) a return showing the aggregate amount of the principal moneys for the time being due to the Secretary of State under any such arrangements as are mentioned in subsection (5) of that section.

6.—(1) This Act may be cited as the Export Guarantees Amendment Act 1975.

(2) The Export Guarantees Acts 1968 and 1970 and this Act may be cited together as the Export Guarantees Acts 1968 to 1975.

Short title,
citation
and
supplementary
provisions.

(3) In section 1 above references to the provision of financial facilities include references to the provision of such facilities before the date of the passing of this Act; and grants may be made under that section in respect of interest for periods before that date.

(4) Arrangements may be made under section 3 above in relation to contracts entered into on or after 20th February 1975 and increases that have occurred before the passing of this Act.

(5) In this Act “business” and “guarantee” have the same meaning as in the Export Guarantees Act 1968, “trade with other countries” and “securities” have the meanings given in sections 1(3) and 3(6) of that Act and “export contracts” means contracts in respect of which guarantees have been or can be given under section 1 or 2 of that Act.

1968 c. 26.

(6) Except where the context otherwise requires, references in this Act to the said Act of 1968 or any provision thereof include references to any corresponding enactment previously in force.

(7) The powers and duties of the Secretary of State under this Act, except the power to make orders under sections 3(5) and 4(2), shall be exercised and performed through the Export Credits Guarantee Department.

(8) The enactments mentioned in the Schedule to this Act (which include spent provisions) are hereby repealed to the extent specified in the third column of that Schedule.

Section 6(8).

SCHEDULE**REPEALS**

Chapter	Short title	Extent of repeal
1968 c. 26.	The Export Guarantees Act 1968.	In section 3, in subsection (1) the words "or which have been created in pursuance of arrangements made under section 2 of this Act" and subsection (5). Section 4. In section 8(b) the words from "and of the amounts" onwards. In section 9(1) the words "section 3 of this Act or".
1970 c. 15.	The Export Guarantees and Payments Act 1970.	Section 2(2). Section 3. Section 4(1).
1972 c. 40.	The Overseas Investment and Export Guarantees Act 1972.	Section 4.